AI Companies Are Buying and Destroying Used Books

Podcast: Wall street journal

AI Executive Summary

1. Core Thesis: This episode investigates the emerging phenomenon of Artificial Intelligence (AI) companies purchasing bulk volumes of used books, scan, digitize, and destroy physical copies to train their machine learning models. This trend is largely driven by a strategic loophole in copyright law regarding "single copy acquisition" where the original print edition is physically destroyed after being converted into digital content for exclusive use. The core narrative focuses on the disruption this creates for the used book market, characterized by sudden spikes in bulk orders and the ethical dilemma booksellers face between financial gain from these sales and the moral responsibility to preserve rare and historically significant cultural artifacts against data mining.

2. Key Arguments & Data:

3. **The Discovery:** Used booksellers reported sharp increases in sales (20–30 orders per day for some, sometimes batches of 50–100 books) from mystery buyers with unusual company names (e.g., "Red Sparrow," "Blue Finch").
4. **Tracking Evidence:** One bookseller utilized small trackers on shipments, revealing a specific route: books were shipped to warehouses in Ohio and Illinois (book scanning facilities), Wisconsin, Las Vegas (near Amazon facilities), and eventually arrived at recycled paper manufacturers in Mexico.
5. **Anthropic & Project Panama:** A January 2024 court filing revealed Anthropic was involved in "Project Panama," a secret program buying millions of physical books to train AI models, confirmed by data acquired from booksellers.
6. **Scanning Technology:** Companies utilize high-volume scanning tools like the "book guillotine," which cuts the spine off to separate pages for rapid processing, often resulting in the destruction of rare or antiquarian texts.
7. **Copyright Loophole:** A judge ruled that purchasing a physical book and destroying it after digitization is legal under copyright law because

no new copy is added to the marketplace; the print version is effectively being replaced with digital content.

8. **Industry Impact:** While some booksellers doubled their revenue (tens of thousands of dollars in new sales), others worry about seeding a technology that could replace the need for books as reading habits shift.

9. **Destruction Scale:** AI companies are now buying and destroying rare and unique books (e.g., Orwell's *1984*) alongside common ones, creating pressure on the antiquarian market.

10. Actionable Takeaways:

11. **For Booksellers/Inventors:** Establish clear policies regarding the acceptance of bulk orders from suspected data-harvesting entities; specifically refuse to sell rare or high-value historical books to suspicious buyers despite economic incentives.
12. **For Consumers & Investors:** Monitor developments in AI training data acquisition policies and copyright law regarding digital transformation; be aware that purchasing used books may financially contribute to physical paper destruction for corporate intelligence gathering.
13. **For Policy/Regulators:** Consider revisiting the legal precedents set by cases like *Project Panama* that allow single-copy digitization followed by physical destruction, as this threatens the preservation of public domain texts and rare artifacts.
14. **General Awareness:** Recognize the shift from analog to digital consumption where data extraction is a secondary economic activity to reading or collecting; understand that "saving" a copy often depends on whether it remains accessible to human readers versus AI algorithms.

Full Transcript

Earlier this year, something strange began to happen in the world of used books. A number of used booksellers were seeing really sharp increases in sales. Some of them would get 20 or 30 orders, one book at a time, but all from the same buyer within the course of a day or two. Our colleague, Melissa Corn, is a deputy bureau chief for the Wall Street Journal's media team. Others would get one order for 50 books or 100 books, and these are much bigger volume sales than they were used to. Some of them didn't really even know how to ship that many books at once. They had never needed to before. And what kinds of books were being purchased? First of all, some of these book titles, the fact that these are books at all is kind of incredible. The fact that somebody is seeking them out to buy is just as incredible. So we've got cultures of glass architecture. Ah, indeed.

Slow wine 2012, a year in the life of Italy's vineyards and wines, you know, from 14 years ago. Real important knowledge there. Women in television news revisited. I wonder when they were visited the first time. I don't know. One of my favorites was marriage litigation in medieval England. Wow. So we're not talking like Harry Potter series being bought in bulk here. No. The books being ordered were mostly nonfiction. about completely unrelated topics. And the orders were being shipped out not to individual customers, but to warehouses. And did the sellers know who these buyers were? No. It was a mystery to the booksellers who was actually getting these books at the end of the day. Welcome to The Journal, our show about money, business, and power. I'm Jessica Mendoza. It's Tuesday, September 8th. Coming up on the show, The mystery that's tearing up the used book industry. The used book industry is made up of a smorgasbord of shops and sellers. Some have storefronts. Some sell out of their home. Some sell online through third-party websites. It's a sprawling, unpredictable market, mostly fueled by people like me who simply love a good book. The booksellers are buying these books in the hopes that somebody comes along and has a particular interest in this...

little niche of the universe. It's always been a tough industry. It is thin margins. The booksellers, they would sometimes get, you know, one or two

orders a day, one or two orders a week, depending on how big their inventory was. So when these booksellers started getting these mystery bulk orders, were they happy at first? I mean, these were changing their financial circumstances significantly, right? Some have told me that they were doubling their revenue, thousands or tens of thousands of dollars in new sales coming in. Words started to spread about these strange orders, and they became the talk of the town in bookseller circles. Booksellers meet at antiquarian book fairs around the world. I love that. They have email listservs. There are message boards on the marketplace sites on Reddit. And some started posting.

You know, hey, I'm getting a lot of orders from this particular company. Anyone else notice it? Did any sort of patterns start to emerge? Yes. The booksellers, as they compared notes, realized a lot of these destinations were the same named companies that they had never heard of before. And now all of a sudden we're doing these bulk buys. Many of the buyers went by unusual names. Often it was some combination of a color and a bird. So Red Sparrow and Blue Finch and Green Parrot Project, one of the booksellers was like, it sounds like kind of a 70s spy novel or something. One bookseller decided to solve the mystery herself. And of course, every spy novel requires gadgets. I was talking to my sister, telling her about the whole situation. And she said, oh, why don't you put a tracker on one of your shipments?

This bookseller is a self-proclaimed weird book specialist based in the Pacific Northwest. And so a light bulb went off in my head and, you know, like a week passed or something like that. And I just could not stop thinking about that idea. So she went and bought a couple of tracking devices. Turns out there are a lot of options online. She chose a tracker that was slim, about the size and shape of a credit card. And I also went out and got special tape that was removable because I didn't want to damage the book. The next time a bulk order came in, she slid one of the small trackers into an envelope and taped it under the book jacket. I was very, I was kind of nervous. Let's put it that way. Just nervous about the whole thing, doing anything covertly like that. I'm not used to doing things like that.

The bookseller was worried that she was violating the terms of the sale, but she did it anyway in two different books for two different orders. Then she sat at her computer and watched. The first book went to a warehouse in Ohio and sat there for weeks. Then it headed to an industrial complex in Illinois. When she looked up the address, she saw it matched a location for a company with a large book scanning business. a kind of place where books get digitized and often destroyed. That's where she thinks the book died. The second book went to a warehouse in Wisconsin. Then it took a trip to Las Vegas, specifically to an intersection with at least two Amazon facilities. So it was like, okay, I think I know what's going on here. The last ping from that tracker came from Mexico at the site of a recycled paper manufacturer. I'm convinced that my experiment showed that it really was going to some kind of AI operation where they scanned and destroyed the books. What was your initial reaction when you realized that the books were probably being destroyed? Yeah. Well, I was facing reality that, okay, I have to decide now how to deal with this information.

How booksellers are grappling with the fate of their books is next. The bookseller we talked to confirmed a suspicion among many in the used book industry that the mysterious orders had something to do with AI. And that suspicion didn't come out of nowhere. Here's Melissa again. In January of this year, a number of court filings were unsealed in the case of a bunch of authors against Anthropic in a copyright infringement suit. The lawsuit against Anthropic focused mainly on how the company was downloading millions of digital books without paying for them, which is illegal. It's pirating. But during that investigation, it came to light that Anthropic was also buying physical copies of books in bulk as part of a big secret project. Project Panama was the code name. Through Project Panama, according to a reporting from the Washington Post, Anthropic was training its AI models with the information inside the pages of physical books. So we already knew that AI companies train their models, right, with what's available on the internet. Right. But I guess like not everything is online. Right. If you want your AI model to really have all of the information that's out there, they have to go analog for some of it. So Anthropic was buying millions of books.

hardcover, paperback, whatever. And, you know, essentially they internally said, you know, we want all of the books. We want to eat everything. Book scanning happens in one of two ways. One is called non-destructive. And it is a little more time-consuming and labor-intensive, where one page is scanned, the page is flipped, the next page is scanned, page is flipped. Which, if you're trying to do that for millions of books, is, you know... Would take so long time, I imagine. Decay. I don't even know, right? Right. The other option is much faster. And it's done using a tool called the book guillotine. Essentially, the machine cuts the spine of the book off. It separates the pages from the binding. And then...

feeds the pages, the loose pages, into a scanner. And that can happen extraordinarily quickly, right? Like you are ripping or slicing apart a book. And that is the most efficient way of doing high volume scanning. And that's what Anthropic was doing to the books. Hilling books, not necessarily the best PR move a company could make. And Anthropic took a lot of heat when it came out. An anthropic spokesperson said sourcing books is a widely used approach for AI training, and that quote, none of our data acquisition programs buy and destroy rare or antiquarian books. Here's the thing. In a logical paradox that seems straight out of Fahrenheit 451, the destruction of the books was actually anthropics saving grace. A judge determined that in part because the physical book was being destroyed after it was scanned, What Anthropic was doing with Project Panama was legal according to copyright law. They bought a book, turned it into something digital. They were not adding another copy to the marketplace. They were replacing the print copy with digital content for their own use. And a lot of AI companies later took that to mean, as long as we're buying the book, it's okay, particularly if we are then destroying the book.

Multiple AI companies are now ordering books from used booksellers all around the world. That's recently been confirmed by the tech news site 404 Media, along with Melissa's reporting and the evidence obtained by the booksellers' trackers. And this amounts to a new phase in the book goblin game. AI destroying rare books, weird books, books in unique languages, you name it. And this new phase has made a lot of people angry.

Big AI is literally lighting our books on fire. Pretty sure this is one of the worst things AI companies have ever done. The worst part is that some of these books are super rare and hard to find. We're looking at Orwell's 1984 in action. As a book lover, I also don't love the idea of thousands of books getting ripped up, especially rare ones. But it turns out books actually get destroyed all the time. There are a lot of other kind of parties in the book universe that do destroy books. at large scale on a regular basis, including publishers. They think a book is going to be an absolute bestseller. It does not sell well. They have many, many copies sitting in warehouses. At some point, many determine, whatever, I can't sell this off to the recycling plant. And there the books get shredded, pulped, turned into other paper products like toilet paper.

So sad. You'll think about that next time you go to the bathroom. Honestly. But now that AI companies are involved, a lot of booksellers are feeling torn over how to respond, including the bookseller we spoke to. How are you grappling with this as a bookseller? I went back and forth about it. First, it was a sort of revulsion. You don't want the books that you carefully selected and sold to someone to be destroyed. But on the other hand, there's so many books and millions and millions and millions that you can't really get very sentimental about each book. Fair enough. Uh-huh. I know that books get destroyed all the time. Is there a line that you've drawn as to what you'll sell to buyers who you suspect are probably AI companies?

Yeah, there is there is a line and it's you know if it is something that I have identified as a rare book I'll just reject the order. I mean, there's yeah, but That hasn't really come up yet. So to be fair some of the books being bought by AI companies may be obscure But they're not all rare cultural artifacts. So facing reality. It's okay in my mind that they are being destroyed as long as they're not rare. It's just a little bit uncomfortable that you're facilitating it. I think the kind of moral conundrum that a lot of the booksellers find themselves in of, right, they are in this business because they love books. They love connecting a book to a book lover. And, you know, making that sale, sure, but also helping somebody fill out their collection or find a book that they've been looking for for 20 years and had some great emotional meaning to them. So for them to have to face this idea that they are potentially destroying a book that may matter to somebody is hard. But

again, there's the economics of it. Some of the booksellers whom Melissa talked to are just happy for the increase in sales. Others worry they're seeding their own demise.

feeding a new technology that could replace the need for books altogether at a time when fewer people are reading. Is this going to completely demolish the used book industry? No. Is this going to destroy the antiquarian truly high-end rare book industry? Probably not. But it will affect the economics of used bookselling for at least a little while. How big of a risk is it really that some rare books are lost forever because of this practice? If one AI company is buying one copy of a fairly uncommon book, that's one thing. If 20 AI companies are doing it, all of a sudden, having 20 books on the market doesn't feel like a very big cushion. So it does depend on the book, obviously.

It depends on how many copies are being gobbled up. So it is tough for some to swallow, but at the same time, there is an acknowledgement that the way people consume information is changing. Yeah, it's really interesting because a book is information in a very particular format. And even though you can make the argument, and I think very fairly that AI is, you know, offering its own kind of knowledge and its own kind of information, but it does take away from the feeling that you get when you open a book for the first time. I mean, I have to say, I kind of love, there's a great used bookstore a few blocks away from where I live. I love wandering it. I love buying a book. And every once in a while, seeing some note written in a margin, like, it just makes you wonder who owned this before and what's their story and why. Yeah, there's a magic to it that's different. There is. There's some magic to it.

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